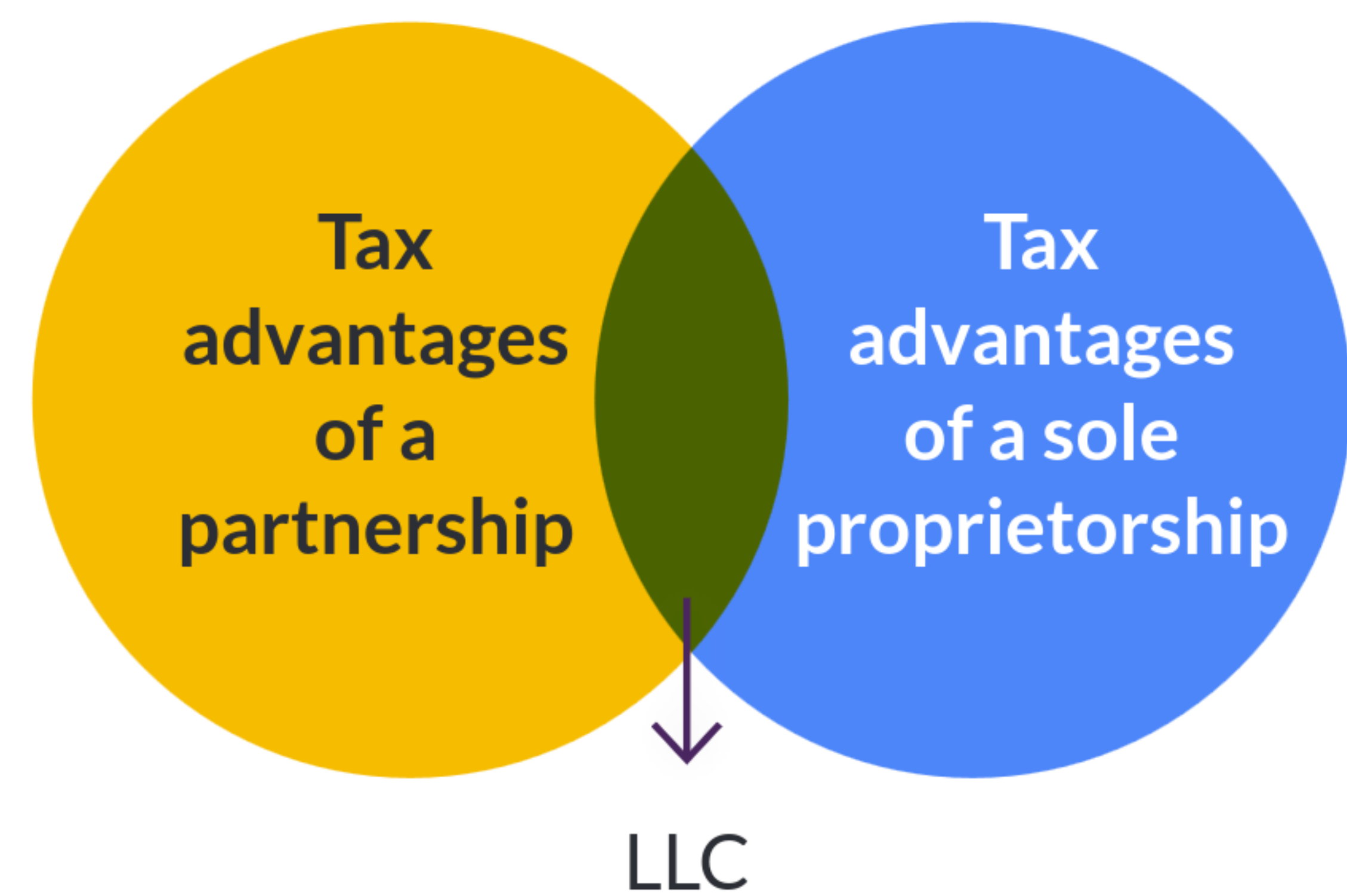


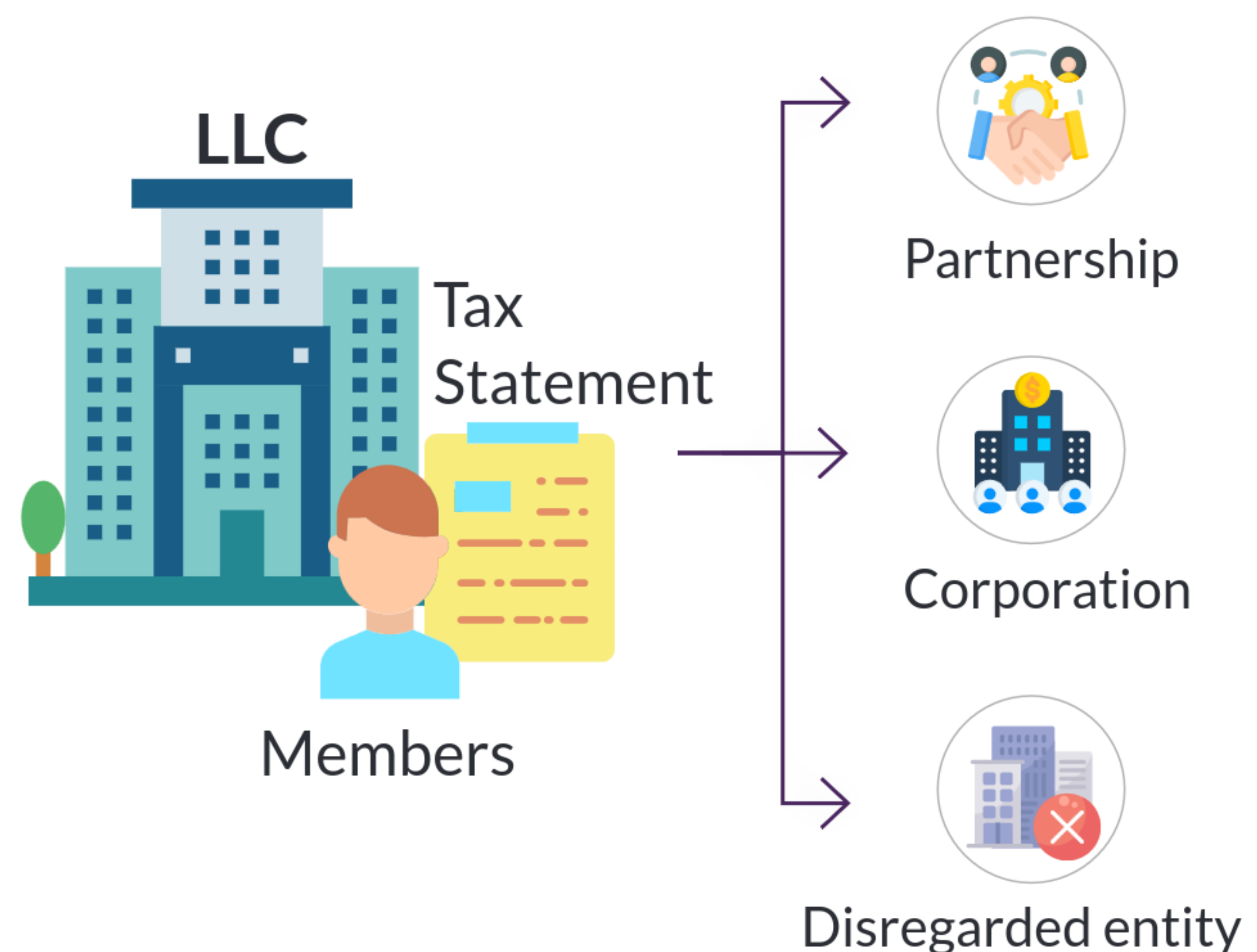


Limited Liability Company (LLC)

A limited liability company (LLC) is a popular choice for many consulting firms. It offers personal liability protection while maintaining the tax advantages of a partnership or sole proprietorship. In an LLC, the business is treated as a separate legal entity from its owners (known as members), shielding their assets from business liabilities.



One of an LLC's primary advantages is its flexibility regarding management structure and taxation. Members can tax their LLC as a partnership, corporation, or disregarded entity (for single-member LLCs). This flexibility allows consulting firms to tailor their tax strategies to their needs and circumstances.



While forming an LLC requires more paperwork and ongoing formalities than a sole proprietorship, it provides higher credibility and professionalism, which can be beneficial when working with larger clients or seeking funding.

